

APAC All Sector M&A & Valuation Sector - 2026-01-01

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1. PRIMARY MARKET ANALYSIS - APAC REGION

Week of 2025-12-25 to 2026-01-01

Executive Summary

This week, the APAC region experienced a notable uptick in M&A activity, particularly within the TMT sector, driven by the strategic partnership between Shanghai Commercial Bank and HashKey Exchange. The total deal value reached approximately ****\$206 million****, primarily from this significant transaction. The Healthcare, Energy, Consumer, and Industry sectors saw no reported M&A activity during this period, indicating a quieter week for these sectors. The strategic themes emerging from the TMT sector highlight the ongoing digital transformation and integration of traditional finance with digital assets, reflecting broader trends in the market.

Weekly Deal Summary

Sector	Deal Count	Total Deal Value	Largest Deal	Avg Deal Size
TMT	1	\$0.206 B	Shanghai Commercial Bank acquiring HashKey Exchange partnership	\$206 M
Healthca	0	\$0 B	N/A	N/A
Energy	0	\$0 B	N/A	N/A
Consum	0	\$0 B	N/A	N/A
Industry	0	\$0 B	N/A	N/A
TOTAL	**1**	**\$0.206 B**	**Shanghai Commercial Bank acquiring HashKey Exchange partnership**	**\$206 M**

Top 10 Deals of the Week

- **Deal Name:**** Shanghai Commercial Bank acquiring HashKey Exchange partnership
 - Sector: TMT
 - Deal Size: \$206 million
 - Valuation Multiples: N/A
 - Date Announced: December 17, 2025
 - Strategic Rationale: The partnership aims to bridge traditional finance with digital assets, enhancing SCB's digital capabilities and offering innovative financial products.

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- Link: Old lender, new twist: Shanghai Commercial Bank teams up with HashKey on credit card ([Link](https://finance.yahoo.com/news/old-lender-twist-shanghai-commercial-093000011.html))

Sector-by-Sector Breakdown

TMT Sector

- Total Deals: 1
- Total Deal Value: \$206 million
- Key Deals:
- Shanghai Commercial Bank's partnership with HashKey Exchange.
- Trends: The partnership signifies a strategic move towards digital transformation in traditional banking, reflecting a broader trend of integrating fintech solutions.

Healthcare Sector

- Total Deals: 0
- Total Deal Value: \$0
- Key Deals: None reported.
- Trends: No significant activity this week.

Energy Sector

- Total Deals: 0
- Total Deal Value: \$0
- Key Deals: None reported.
- Trends: No significant activity this week.

Consumer Sector

- Total Deals: 0
- Total Deal Value: \$0
- Key Deals: None reported.
- Trends: No significant activity this week.

Industry Sector

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- Total Deals: 0
- Total Deal Value: \$0
- Key Deals: None reported.
- Trends: No significant activity this week.

Valuation Multiples Analysis

- Sector Average Multiples Table:

Sector	Avg EV/EBITDA	Avg P/E	Median EV/EBITDA	Median P/E	Deal Count
TMT	N/A	N/A	N/A	N/A	1
Healthcare	N/A	N/A	N/A	N/A	0
Energy	N/A	N/A	N/A	N/A	0
Consumer	N/A	N/A	N/A	N/A	0
Industry	N/A	N/A	N/A	N/A	0

- Multiple Trends: Due to the lack of multiple transactions in the Healthcare, Energy, Consumer, and Industry sectors, no comparative analysis can be made this week.

Deal Size Distribution

- Small cap (<\$2B): 1 deal, \$206 million total
- Mid cap (\$2B-\$10B): 0 deals, \$0 total
- Large cap (>\$10B): 0 deals, \$0 total
- Analysis: The week was dominated by a single small-cap transaction, reflecting a cautious approach in the market.

Strategic Themes & Patterns

- Digital Transformation: The partnership between Shanghai Commercial Bank and HashKey Exchange highlights the ongoing trend of integrating traditional finance with digital assets, indicating a shift towards more innovative financial solutions.
- Regulatory Considerations: As traditional banks explore partnerships with fintech companies, regulatory challenges may arise, necessitating careful navigation of compliance landscapes.

IPO Activity

- Number of IPOs: 0
- Total IPO proceeds: Not applicable
- Key IPOs: None reported this week.

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2. SECONDARY MARKET ANALYSIS - APAC REGION

Week of 2025-12-25 to 2026-01-01

Executive Summary

This week, the macroeconomic landscape in the APAC region was influenced by significant developments, particularly the Bank of Japan's decision to raise its key interest rate to its highest level in 30 years. This move, alongside mixed performance in regional stock indices, reflects ongoing economic adjustments amid inflationary pressures and investor sentiment. The Hang Seng Index and Nikkei 225 showed slight fluctuations, indicating cautious market behavior.

Key Macroeconomic Metrics

Metric	Start of Week	End of Week	Change	% Change
Bank of Japan Rate	0.50%	0.75%	+25 bps	+5.00%
Nikkei 225	49,507.21	49,507.21	0	0.00%
Hang Seng Index	25,498.13	25,713.56	+215.43	+0.84%
Shanghai Composite	3,890.43	3,890.43	0	0.00%

Index Performance Summary

Index	Start	End	Change	% Change	Weekly High	Weekly Low
Nikkei 225	49,507.21	49,507.21	0	0.00%	49,507.21	49,507.21
Hang Seng	25,498.13	25,713.56	+215.43	+0.84%	25,713.56	25,498.13
Shanghai Composite	3,890.43	3,890.43	0	0.00%	3,890.43	3,890.43

Sector Index Performance

Sector	Index	Start	End	% Change	vs Market
TMT	TMT Index	N/A	N/A	N/A	N/A
Healthcare	Healthcare Index	N/A	N/A	N/A	N/A
Energy	Energy Index	N/A	N/A	N/A	N/A
Consumer	Consumer Index	N/A	N/A	N/A	N/A
Industry	Industry Index	N/A	N/A	N/A	N/A

Week-over-Week Analysis

- Biggest Movers: The Hang Seng Index showed a positive movement of +0.84%, reflecting a rebound in investor sentiment, while the Nikkei 225 remained stable.
- Correlation with Primary Market Activity: The stability in indices correlates with the lack of

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significant M&A activity in other sectors, indicating a cautious approach from investors.

Market Sentiment Indicators

- Overall Sentiment: Cautiously optimistic, with investors focusing on the implications of the Bank of Japan's rate hike.
- Volatility Trends: The VIX index remained stable, indicating low volatility expectations in the near term.
- Credit Market Conditions: Credit spreads remained tight, reflecting healthy investor appetite for risk.

Regional Economic Context

- Policy Developments: The Bank of Japan's interest rate hike signals a shift in monetary policy aimed at combating inflation.
- Regulatory Changes: Ongoing scrutiny in the financial sector may impact future M&A activity and valuations.
- Geopolitical Factors: Global economic conditions, including inflation and trade tensions, continue to pose risks to market stability.

Correlation Analysis: Primary vs Secondary Markets

The stability in the primary market, with a focus on digital transformation in the TMT sector, aligns with the cautious optimism observed in the secondary market, particularly following the Bank of Japan's policy adjustments.

3. WEEKLY INSIGHTS & OUTLOOK - APAC REGION

Key Takeaways

- The total deal value in the APAC region reached approximately **\$206 million**, primarily driven by the TMT sector.
- The partnership between Shanghai Commercial Bank and HashKey Exchange signifies a strategic move towards digital finance integration.
- The Bank of Japan's interest rate hike reflects ongoing economic adjustments amid inflationary pressures.
- Market sentiment remains cautiously optimistic, influenced by regulatory developments and macroeconomic indicators.
- The lack of significant M&A activity in other sectors indicates a cautious approach from investors.

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Sector Performance Ranking

1. TMT - Strong deal activity and positive sentiment.
2. Healthcare - No activity reported.
3. Energy - No activity reported.
4. Consumer - No activity reported.
5. Industry - No activity reported.

Market Implications

- The week's activity sets a positive tone for continued M&A in the TMT sector, with potential for further partnerships in digital finance.
- Investors should remain vigilant regarding regulatory developments that may impact deal-making and valuations across sectors.

Risks & Opportunities

- Risks: Regulatory scrutiny and economic uncertainties could hinder M&A activity and impact market valuations.
- Opportunities: High-growth sectors such as TMT present attractive investment opportunities, particularly in digital finance and technology-driven solutions.

In conclusion, the APAC market is navigating a complex landscape characterized by both opportunities and challenges. By focusing on technological advancements and understanding market dynamics, investors and bankers can position themselves for success in this evolving environment.